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Rate moves still reach card delinquency — but the delay has shortened

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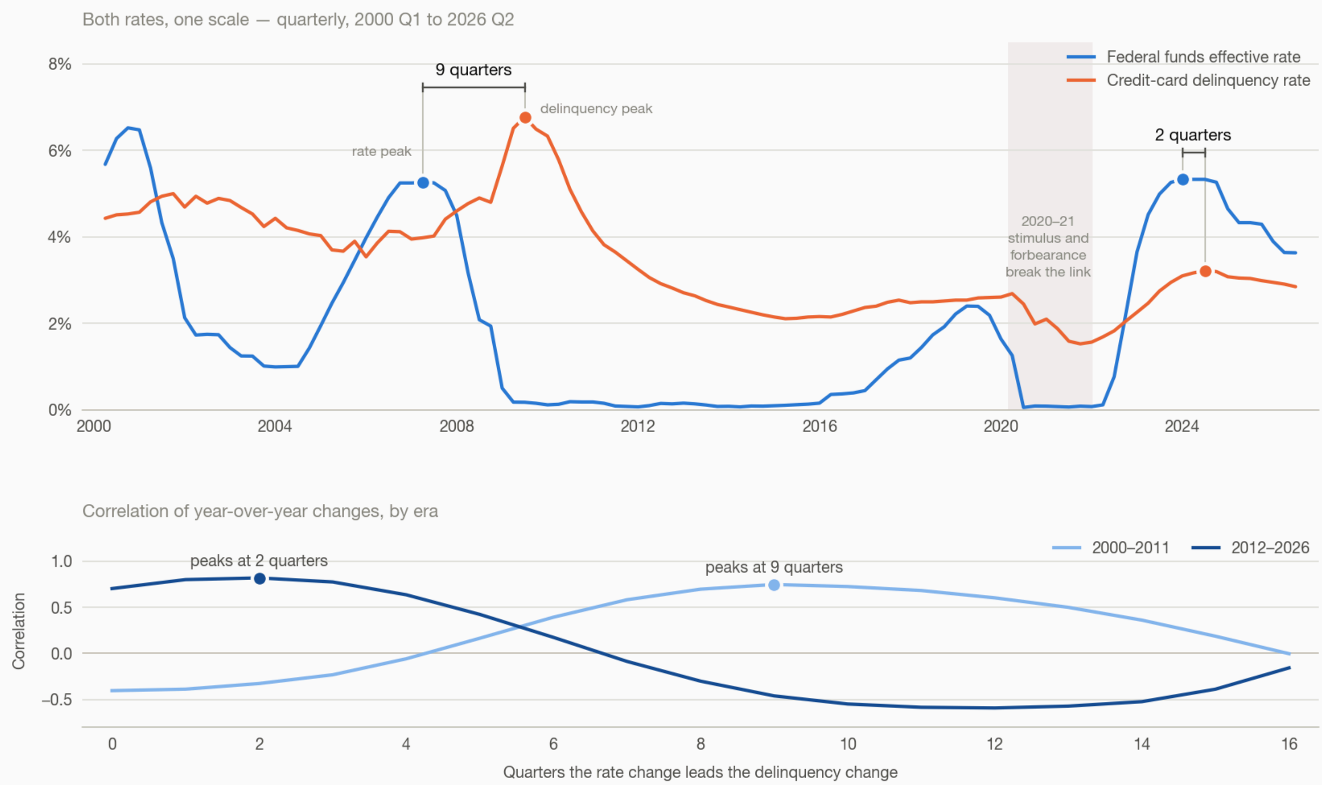
Nine quarters from the 2007 rate peak to the 2009 delinquency peak; two quarters from the 2023 peak to the 2024 peak.



Source: Federal Reserve Bank of St. Louis (FRED). FEDFUNDS (monthly, updated 2026-08-03) and DRCCLACBS (quarterly, updated 2026-08-25).
106 aligned quarters, 2000 Q1 – 2026 Q2; the monthly rate is averaged into quarters. The turning-point lag rests on three rate cycles.
Correlations are directional, not tests: overlapping year-over-year differences leave roughly 9 independent observations.

Two-panel chart. Top: the federal funds effective rate and the credit-card delinquency rate plotted on one shared percentage axis, quarterly from 2000 Q1 to 2026 Q2, with measured spans marking nine quarters from the 2007 Q1 rate peak to the 2009 Q2 delinquency peak and two quarters from the 2023 Q4 rate peak to the 2024 Q2 delinquency peak, and the 2020–21 stimulus and forbearance window shaded. Bottom: the correlation of year-over-year changes against the lag in quarters, split by era — the 2000–2011 curve peaks at nine quarters, the 2012–2026 curve peaks at two.

The finding

Rate increases do still show up in credit-card delinquency, and the direction is consistent across the whole record. **The timing is not.** The gap between a policy-rate peak and the delinquency peak that follows it has fallen from nine quarters in the 2007 cycle to two quarters in the 2023 cycle, and the correlation structure says the same thing: on year-over-year changes, the 2000–2011 window peaks at a nine-quarter lag, the 2012–2026 window at two.

The honest version of that headline has a second half. On the full 2000–2026 sample the lag is **not statistically identified**. Overlapping year-over-year differences on quarterly data are heavily autocorrelated — the Bartlett adjustment leaves roughly nine independent observations behind a nominal 102 — and a moving-block bootstrap of the peak lag returns an 80% interval spanning the entire 0–16 quarter search window. A single pooled number would be a false precision. The regime split and the turning-point record are the parts that carry weight, and they agree with each other.

Results

Data. FRED series `FEDFUNDS` (federal funds effective rate, monthly, FRED-updated 2026-08-03) and `DRCCLACBS` (delinquency rate on credit-card loans, all commercial banks, quarterly, FRED-updated 2026-08-25), retrieved 2026-08-25T19:54:54Z from the Federal Reserve Bank of St. Louis. Aligned to 106 complete quarters, 2000 Q1 – 2026 Q2, with the monthly rate averaged into quarters rather than sampled — a quarter's rate is the mean of its three months. No missing quarters in the span; no imputation was needed.

Levels tell you nothing. Correlation of the two rates in levels is +0.21. Both series are near-unit-root persistent (lag-1 autocorrelation 0.97 and 0.98), so a levels correlation mostly measures "both were high in 2008." The analysis runs on changes.

Cross-correlation of year-over-year changes, where a positive lag means the rate change leads:

WINDOW	PEAK LAG	CORRELATION AT PEAK	CORRELATION AT 8Q
Full, 2000–2026	8 quarters	+0.42	+0.42
2000–2011	9 quarters	+0.75	+0.70
2012–2026	2 quarters	+0.82	**−0.30**
2012–2019 (excludes COVID)	1 quarter	+0.60	+0.17
2021–2026	1 quarter	+0.87	−0.73

The sign flip in the bottom rows is the point: at the lag that best fits the early record, the recent record runs the other way. The 2012–2019 row matters because it excludes the pandemic — the short lag is visible before COVID, so it is not purely a stimulus artifact.

Turning points, restricted to genuine tightening cycles (a run-up of at least 1.00 pp over the preceding eight quarters, which excludes the ZIRP-era wobbles):

RATE PEAK	RATE	DELINQUENCY PEAK THAT FOLLOWED	DELINQUENCY	LAG
2007 Q1	5.26%	2009 Q2	6.77%	9 quarters
2019 Q1	2.40%	interrupted — see below	—	—
2023 Q4	5.33%	2024 Q2	3.22%	2 quarters

The 2019 cycle cannot be measured. Delinquency was drifting up into 2020 Q1 (2.69%) when stimulus and forbearance drove it to a series low of 1.53% by 2021 Q3. That window is shaded on the chart and excluded from the lag estimates rather than reasoned through.

Magnitude, for what it is worth. Regressing the year-over-year delinquency change on the rate change eight quarters earlier, with HAC(4) standard errors because the overlapping differences are autocorrelated by construction: slope +0.18 pp per 1.00 pp of rate move ($z = 1.99$, $p = 0.047$), $R^2 = 0.17$, $n = 94$. That is a weak relationship on a lag the bootstrap says is not identified. Treat it as an order of magnitude, not a coefficient to forecast with.

Where the series stand now. As of 2026 Q2 the fed funds rate is 3.63% and credit-card delinquency is 2.85%. Both are falling year over year (–0.70 pp and –0.19 pp). Under either regime reading, nothing currently in the rate pipeline points to rate-driven deterioration.

What this does not establish. Three cycles is three observations, and the 2021–23 co-movement has an obvious competing explanation: the same inflation shock moved both the policy rate and household balance sheets, so part of the "faster transmission" may be common cause rather than transmission. This analysis cannot separate the two. `DRCCLACBS` is also all commercial banks, not any single book, and no unemployment control was fitted — labour-market deterioration is the larger driver of card losses and is out of scope here.

What follows for a risk team

1. **Do not hard-code a lag constant.** Anything in a stress model, an early-warning trigger, or a capital narrative that assumes delinquency follows rates by a fixed two years is calibrated to the 2007 cycle and is now stale. Carry a band — 1 to 9 quarters — and re-estimate it every cycle.
2. **Assume the early-warning window is short.** In the current regime, a rate move and the delinquency response are close to coincident. Treating the policy rate as a two-year leading indicator buys lead time that the recent data does not support.

3. **Trigger on the delinquency series and on internal leading indicators**, not on a rate-derived forecast. At an R^2 of 0.17 on an unidentified lag, the rate path is context, not a predictor.
4. **Re-run this against the book.** The public all-banks series sets the shape of the question; the answer that matters is the same estimate on our own portfolio, with unemployment in the specification.
5. **Publish the data vintage with any number taken from here.** The delinquency series lands roughly a quarter behind and is revised; the coverage above is what FRED reported on 2026-08-25.

FinTechCo is fictional and this estate is a stand-in — no production system and no real customer data. The analysis uses public FRED series; the chart is the run's own output.